Nucleus Satellite Communications (Madras) Pvt Ltd

Sale of the Corporate Debtor as a Going-Concern

Business Overview of the Corporate Debtor:

Nucleus Satellite Communications (Madras) Private Limited was established in 1997. It was engaged in the manufacturing of Dish antenna. It was one of the largest manufacturers of Ku Band dish antennae in India predominantly catering to the Indian Direct-To-Home market.

In July 2015, the Company purchased 8 acres of land on a long-term lease (99 years lease) in Sri City, TADA, Andhra Pradesh to facilitate expansion, diversification and cost control. The factory building of the Corporate Debtor is built on this lease-hold land.

Backdrop of the Going-concern sale:

Due to the rejection of the Resolution Plan by the CoC Members, the Corporate Debtor was Ordered for Liquidation vide order of this Hon'ble Tribunal dated 12.09.2023. Since the liquidation commencement date, the Liquidator has made continuous efforts to sell the assets of the Corporate Debtor through several e-auctions. While some assets were sold, certain assets remain unsold. At this juncture, proposals have been received from few parties for acquisition of the Corporate Debtor as a Going-Concern by way of private sale along with certain reliefs and concessions.

Assets comprising the Going-Concern Sale:

Tangible assets comprising the Going-Concern Sale:

- **Leasehold Land & Building (unexpired lease period 90 years):**

  Located at: Sricity, Plot No 465, Citrus Drive, Mopurupalli, Varadhiahpalem (M), Chittor District, Andhra Pradesh-517541.

  Land:
  - Location : Sri City, Andhra Pradesh
  - Type : Long-term lease
  - Unexpired Lease Tenure : 90 Years (approx.)
  - Land Dimension : 347,000 sqft (approx.)
  - Acres : 8

  Building:
  - Factory shed: Area : 77,000 sqft approx. (CC + PCB columns + Insulated panelling)
  - Ancillary buildings : 23,000 sqft approx. (RCC (mainly))

  The Lease Deed executed between Nucleus Satellite Communications (Madras) Pvt Ltd and Sricity Pvt Ltd is attached herewith as ***Annexure 2.***

Intangible assets comprising the Going-Concern Sale:

- *Approvals & Factory licenses.
- **Other Securities/financial Assets including but not limited to Receivables, loans and advances, Deferred taxes, security deposits, balances with Government Authorities, AP Government incentives and MAT credit entitlement to the extent available.
  *The last audited Financials pertaining to FY 2021-22 is attached herewith as **Annexure 3.***

- **Carry-forward losses and Unabsorbed Depreciation losses:-**

  Business losses:-

Assessment Year	Amount of loss
2017-18	6,94,83,223
2018-19	11,38,93,920
2019-20	7,03,47,931
Total	**25,37,25,074**

Out of the above business losses, the unabsorbed Depreciation losses are as under:-

Unabsorbed Depreciation losses:-

Assessment Year	Amount of loss
2017-18	2,60,59,567
2018-19	5,94,57,937
2019-20	3,63,62,399
Total	**12,18,79,903**

*The Income Tax Return pertaining to AY 2019-20 (FY 2018-19) is attached herewith as **Annexure 4.***

Excluded assets:

1. The Plant & Machinery and Inventory were sold in the earlier e-auctions held and as such they do not form part of the Going-concern Sale.
2. Cash & Bank balances are excluded as they are retained for the payment of Liquidation expenses incurred.
3. Recovery from Disputed cases filed by or on behalf of the Corporate Debtor.

Notes:

1. * The licenses have expired and the successful acquirer is to renew the approvals and licenses with appropriate authorities or if necessary, apply for new licenses as may be applicable.
2. ** The above specified securities/financial assets are based on the last Audited Financials pertaining to FY 2021-22. The Registered Valuers appointed during the Liquidation Period for SFA assets have assigned nil value to those assets. The Successful acquirer shall analyse the SFA assets and depending on the nature and probability of recovery, proceed with the appropriate authorities in recovering the same.

Liabilities of the Corporate Debtor:

(Based on claims received):

S. No	Name and address of Stakeholder	No of claimants	Claim submitted Rs.	Claim Admitted Rs.
1.	Secured Financial Creditor	1	12,33,89,724.37	12,04,45,204.86
2.	Unsecured Financial Creditors	16	15,23,46,173.38	13,91,95,878.38
3.	Operational Creditors – Employees	2	6,01,900.00	6,01,900.00
4.	Operational Creditors – Government dues	5	2,81,50,681.00	2,54,65,449.00
5.	Operational Creditors – Others	53	28,97,72,456.61	22,27,03,117.81
	Total	**77**	**59,42,60,935.36**	**50,84,11,550.05**

***Outstanding claims of stakeholders after deducting the distribution from earlier realisations of few assets:-**

S. No	Name and address of Stakeholder	No of claimants	Claim to be settled Rs.
1.	Secured Financial Creditor	1	10,19,78,797.86
2.	Unsecured Financial Creditors	16	13,91,95,878.38
3.	Operational Creditors – Employees	2	6,01,900.00
4.	Operational Creditors – Government dues	4	80,24,409.00
5.	Operational Creditors – Others	53	22,27,03,117.81
	Total	**76**	**47,25,04,103.05**

**Liquidation costs are in addition to the aforesaid liabilities.*